

als. RBI had hinted at the need for a successor three years ago when the board proposed a five-year term for Ghosh, but the regulator approved a three-year one. “I have been a hands-on operational manager for the past 23 years. Regardless of how much longer I stayed, this hands-on approach would have continued... It’s not sustainable to continue in this manner indefinitely. How long can I keep doing this?” asks Ghosh.

THE HOLDING COMPANY QUESTION

During his tenure, Ghosh has had his run-ins with RBI. The first one took place in 2018, when the regulator put restrictions on the bank’s branch expansion and froze his salary, which were later lifted. The reason was RBI’s licensing guidelines required Bandhan Bank’s promoter, Bandhan Financial Holdings (BFHL), to reduce its stake from 82% to 40% within three years of the bank starting operations (it started operations in 2015). This was eventually achieved through the merger of GRUH Finance in 2019 and secondary market sales in 2020.

There are also private investments made by the promoter companies of Bandhan Financial Services Limited (BFSL), which acts as the bank’s core investment company and controls BFHL and Bandhan Bank. BFSL is promoted by the Financial Inclusion Trust (FIT, with a stake of 32.91%) and the North East Financial Inclusion Trust (NEFIT, 7.82%); both are public charitable trusts. Other investors include Bandhan Employees Welfare Trust (BEWT) with 14.61% and Caladium Investment with 16.1%. Eyebrows were raised when BEWT acquired a 20% stake in Nicco Parks & Resorts, a major amusement park in eastern India, in October 2021. Then in January 2024, Ghosh’s son Angshu-

CHALLENGES GALORE



New CEO to take time to stabilise; transition from founder CEO to professional CEO to be challenging



Competition from banks in the rural and semi-urban areas; mobilising CASA a challenge



Scaling up in the other BFSI segments like mutual funds and insurance to take time



Underserved and unbanked segments prone to risks and defaults

BANDHAN 2.0 STRATEGY



To become a truly universal bank; re-energising its branches as full-scale branches



Transformed core banking solution from FIS to Oracle; tech stack being upgraded



Credit standards in microloans tightened; a separate recovery team created



Focussed approach on customer experience; creating the next level of leadership at all levels

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man—along with FIT, NEFIT, and BEWT—acquired a 66.67% stake in Quadra Medical Services, a diagnostics chain in Kolkata. RBI’s guidelines don’t restrict investments by promoter entities in non-financial firms after making proper disclosures, while in the case of banking entities, they are allowed to buy stake up to 5%.

Ghosh responds, that “they (the promoter companies) should also be diversifying”, citing the example of Singapore’s sovereign fund GIC, an investor in the bank. “Are they not investing outside?” he asks, adding that the relationships should

be at arm’s length. The promoter companies of BFSL are not technically wrong, but such investments complicate the supervisory work for regulators, as it leaves room for possible banking relationships—knowingly or unknowingly—in the future. That is why corporates are not allowed in the banking sector.

PAIN POINTS

For Bandhan Bank, it had been smooth sailing till 2018-19. The bank posted its best RoA (4.23%) and its lowest net NPA (0.58%) in FY19. But its performance has been